FINA 3103 Assignment 1

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Part A

The question

Imagine you have HK$100,000 to invest for one year. For each bet below, write the guaranteed one-year return (in %) that would make you *exactly indifferent* between taking that guaranteed return and taking the bet. This number is your certainty equivalent (CE). It can be negative if you would pay to avoid the bet.

For example, for a bet paying +20% or 0% with equal chance, someone who would be equally happy with a guaranteed 8% writes 8.

	Bet	Erik's CE (%)
Bet X	50% chance of +30%, 50% chance of −10%	10
Bet Y	80% chance of +15%, 20% chance of −25%	12
Bet Z	20% chance of +39%, 80% chance of −1%	5

	Bet	Elaine's CE (%)
Bet X	50% chance of +30%, 50% chance of −10%	4
Bet Y	80% chance of +15%, 20% chance of −25%	3
Bet Z	20% chance of +39%, 80% chance of −1%	3.5

	Bet	Your CE (%)
Bet X	50% chance of +30%, 50% chance of −10%	7
Bet Y	80% chance of +15%, 20% chance of −25%	5
Bet Z	20% chance of +39%, 80% chance of −1%	2

Think about each bet separately and answer honestly. Your grade in Part B depends on what you do with these numbers, not on the numbers themselves.